

DOMAIN 03 · SIX SCENARIOS · RE-RUN QUARTERLY AGAINST THE CALL LOG AND THE PARTNER PIPELINE

Customer Adoption and Timing Risk

Do buyers sign, go live and pay on the schedule the capital plan assumes, and is anybody measuring the one number that decides the margin?

A separate question from whether somebody else wins the deal, and from whether the product ships. As at August 2026 there are no paying customers, no signed contracts and two design partners in prospect. Everything below follows from two figures the workbook states about itself: **970 signatures across five years, and a days to first value figure that appears nowhere in the arithmetic because it can only be observed.** The first is a hiring and channel question. The second cannot be modelled at all, and the whole gross margin case rests on it.



Bubble size is the risk score, likelihood 1 to 3 multiplied by impact 1 to 3. The number inside is the scenario row in the table overleaf.

High 7 to 9

Medium 4 to 6

Low 1 to 3

SOURCES ON THIS PAGE

The signature plan	Gross new customers of 69, 184, 259, 214 and 244 across 2027 to 2031, totalling 970, against a closing base of 835 end customers and 31 partners. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, cohorts and revenue model tabs.	MODEL
Days to first value	Milestone 17, under two weeks at customer twenty, Q3 2028. It appears nowhere in the arithmetic because it can only be observed. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, milestones tab.	MODEL
Scoring	Likelihood and impact are management judgements on a 1 to 3 scale.	MODEL

The six scenarios, scored

#	Scenario and trigger	L	I	Score	Early warning signal
1	970 signatures are required and none of them has happened 69 new customers in 2027, then 184, 259, 214 and 244, including replacing everyone who leaves. 631 of the 835 at 2031 sit in the smallest tier, so the exposure is the count rather than the price	3	3	9	Any year's gross new customer count falls behind plan by more than a quarter's worth of signatures, measured monthly rather than annually
2	Days to first value is unmeasured and the margin case rests on it It appears nowhere in the arithmetic because it can only be observed. The plan puts 16 implementation people in front of 835 customers by 2031, at 52 each against a stated ceiling of 75	2	3	6	Time from signature to a first signed reconciliation is not being measured at all, or it is not falling as the twentieth customer approaches
3	Half of all new business has to arrive through a channel that does not exist yet Partner origination rises from 20 per cent of new customers in 2027 to 51.6 per cent in 2031. No reviewer has yet used the evidence pack in a live engagement, which is the one structural condition the core market does not meet	2	3	6	Partner sourced qualified opportunities, not partner logos, tracking below the share the plan needs in any year from 2027
4	Buyers wait for a consequence they can see and date Enforcement is visible and the daily duty is live, but the outside review the commercial argument leans on has no statutory date, so a buyer can defer without being wrong	2	2	4	Discovery call objections cluster around revisiting later, or evidence reconstruction attach comes in below the ramp in any year
5	Design partners sign and do not go live Both partners have to be live in production in Q1 2027, and the fourth tranche releases against live rather than against signed. The gap between the two is where early plans usually slip	2	2	4	Either partner is signed but not in production 30 days before the tranche window, or no partner is on a dated production plan by the end of 2026
6	The near-term market is smaller than the count The register holds 18,254 entities and 13 of its 32 rows are primary sourced. Eighteen of thirty one rows are management estimates, so a share measured against one of them rests on an estimated total	1	2	2	Fewer than twenty discovery calls completed off the published register by the end of 2026, or calls surfacing interest without a budget holder behind it

Legend. Likelihood and impact each run 1 to 3 and the score is their product. Four of the six are measured rather than argued, which means the warning arrives in the operating numbers before it arrives in the revenue.

The constraint in this domain is signature throughput, and it is a hiring and channel argument rather than a market argument.

Demand is not the binding line anywhere in the plan. The register holds 18,254 entities and the plan asks for 970 signatures across five years against it. What binds is how many of those signatures a funded team can actually produce, how fast each one reaches its first usable record, and how many of them arrive through somebody else. All three are operational, and all three are observable from the first quarter of selling.

1 970 signatures are required and none of them has happened

SCORE 9 · L3 × I3

CASE STUDY · VERAFIN TOOK TWENTY THREE YEARS TO REACH THE SHARE THIS PLAN REACHES IN FIVE

Verafin is the closest structural analogue in the set: Canadian, regulatory, sold into a named and countable population of financial institutions through trusted intermediaries. By March 2026 it served 2,700 or more North American institutions, roughly 31 per cent of about 8,780 banks and credit unions, including 67 per cent of the largest fifteen United States credit unions. It took roughly twenty three years ([Verafin](#)). Nasdaq paid US\$2.75B for it and kept the head office in St. John's ([CNBC](#); [Nasdaq](#)). The share is reachable. The clock is the part worth arguing about.

RESPONSE FOR 4ORM

The plan reaches 214 of the 745 fund holding payment providers by 2031, which is 28.7 per cent, and about 60 firms or 8.1 per cent three years after the duty commenced. **It does not claim thirty per cent inside the first three years, because that is six signatures a month for twenty five consecutive months from a standing start, and it is not deliverable at any funded headcount.** What the plan does ask for is demanding enough: 970 signatures across five years, of which 631 of the surviving 835 sit in the smallest tier. That tier is the exposure and it is a volume exposure rather than a price one, because cutting the small tier price by a fifth costs 4.7 per cent of total revenue. Measure signatures monthly against the annual plan from the first quarter of 2027, and treat a shortfall of one quarter's worth as the trigger to move the channel share rather than the price.

2 Days to first value is unmeasured and the margin case rests on it

SCORE 6 · L2 × I3

CASE STUDY · REVENUE PER HEAD, AGAINST THE BENCHMARK THIS PLAN IS MEASURED ON

The conventional check on whether a software company has solved delivery is revenue against people, and the benchmark is about US\$235,000 of annual recurring revenue per employee ([KeyBanc Capital Markets](#)). This plan carries 47 employees at 2031 against \$105,276,946 of revenue, which is roughly \$2.2M a head, or about seven times that benchmark. Counting the contracted delivery team brings the figure to 126 people and about \$835,000 a head, which is still more than twice it. Bessemer's Cloud 100 average is 7.5 years to US\$100M of recurring revenue ([Bessemer](#)). AuditBoard passed US\$150M in 2023 and US\$300M by 2025 ([Business Wire](#); [PR Newswire](#)). None of those companies got there on 47 employees.

RESPONSE FOR 4ORM

This is the number that decides whether the plan is a software business or a services business wearing software margins, and it is the one figure nobody can model. The workbook says so in its own words: it appears nowhere in the arithmetic because it can only be observed. What the plan does carry is a capacity ceiling that rises from 30 live customers per implementation person in 2027 to 75 by 2031, against actual loads of 16 and then 52. **That headroom is a limit rather than a proof, and it holds only if setup becomes a template per size band.** Two controls, both cheap. Measure time from signature to a first signed reconciliation on customer one, not on customer twenty, and publish it internally every month. And hold the earnings margin back from every external conversation: the workbook's own check reads REVIEW on it, because the cost base has not been rebuilt for six revenue lines, and it says the margin must not be quoted yet.

SOURCES ON THIS PAGE

Capture	214 firms at 2031, 28.7 per cent of 745. About 60 firms, 8.1 per cent, three years after the duty commenced, with the arithmetic behind why the same share is not reached earlier stated on the tab itself. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, capture and share tab.	MODEL
The small tier	631 of 835 customers and \$20,666,383 of \$105,276,946. Cutting the price by a fifth costs 4.7 per cent of revenue. 4orm Finance Price Evidence, all tiers, 17 August 2026 · 4orm Finance Vision, 17 August 2026, section 12.	MODEL
Verafin	2,700 or more institutions, about 31 per cent, over roughly twenty three years · the US\$2.75B acquisition · Nasdaq's release	PRIMARY / TERTIARY

SOURCES ON THIS PAGE

Revenue per head	47 employees and 126 people including contracted delivery at 2031, against \$105,276,946. 40rm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, team roadmap and revenue model tabs. Benchmark: KeyBanc Capital Markets, about US\$235,000 a head.	MODEL / SECONDARY
Ramp comparisons	Bessemer Cloud 100, 7.5 years to US\$100M · AuditBoard at US\$150M · AuditBoard at US\$300M · Clio at US\$500M over roughly sixteen to eighteen years	SECONDARY
Capacity and the margin check	Ceiling per implementation person rising 30 to 75 against loads of 16 and 52. The earnings margin check reads REVIEW and states the margin must not be quoted. 40rm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, team roadmap and revenue lines tabs.	MODEL

3 Half of all new business has to arrive through a channel that does not exist yet

SCORE 6 · L2 × I3

CASE STUDY · TWO CANADIAN CHANNELS THAT DID CARRY A MARKET, AND WHAT EACH TOOK

The precedent for channel origination in Canada is good and it is not free. CGI acquired Celero's credit union business serving 90 or more credit unions, an implied 54 per cent of the 167 non-Desjardins Canadian credit unions ([CGI](#)). Central 1's transfer of digital banking operations covered more than 170 credit unions and banks ([Intellect](#)). Both worked because the channel was a named, countable set of institutions that already sat in front of the end customer. Elsewhere in this category the same shape holds: more than 80 per cent of Drata's customers connect with an auditor through the platform, and Vanta runs more than 100 audit firms across 26,000 or more audits ([Drata](#); [Vanta](#)).

RESPONSE FOR 40RM

The plan needs partner origination to rise from 20 per cent of new customers in 2027 to 51.6 per cent by 2031, and it prices that channel honestly at a ten per cent margin on the revenue a partner brings, held for as long as that customer stays. Independent reviewers are deliberately excluded from the margin, because a reviewer taking a share of a subscription has a financial interest in the thing they are required to review independently. **The exposure is not the margin. It is that no reviewer has used the evidence pack in a live engagement yet, and that is the one structural condition the core market does not meet.** Milestone 15 puts the first accepted export at Q2 2028, which is late relative to the channel ramp it has to unlock. Bring it forward: run a reviewer through the pack on a design partner's records in 2027, as a rehearsal, and measure partner sourced qualified opportunities rather than counting partner logos. A directory of signed partners who introduce nobody is the failure mode this line has to be watched for.

SOURCES ON THIS PAGE

The channel in the plan	Origination of 20, 35, 45, 50 and 51.6 per cent across 2027 to 2031 at a ten per cent margin. 85 per cent of partners eligible, reviewers excluded for independence. 40rm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, channel and sales tab.	MODEL
Reviewer independence	The reviewer must not have participated in establishing, implementing or maintaining the framework being reviewed. Justice Laws Canada, SOR/2023-229	PRIMARY
Canadian channel precedent	CGI on the Celero credit union business · Central 1's transfer, 170 or more institutions	SECONDARY
Reviewer channels elsewhere	Drata, more than 80 per cent · Vanta, 100 or more firms . Milestone 15, first accepted export, Q2 2028: 40rm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full.	PRIMARY / MODEL

4

Buyers wait for a consequence they can see and date

SCORE 4 · L2 × I2

CASE STUDY · DYE AND DURHAM, AND WHAT A MANDATED MARKET DOES AFTER THE WAVE

Dye and Durham holds roughly 90 per cent of Ontario conveyancing and reported FY2025 revenue of CAD \$440.7M on adjusted earnings before interest, tax, depreciation and amortisation of CAD \$232.8M ([annual report](#); [Canadian Anti-Monopoly Project](#)). It also reported negative organic growth in a recent quarter ([Dye and Durham](#)). A mandated population converts in a wave and then flattens, which means the risk in a dated market is missing the wave rather than mistaking the size of it.

RESPONSE FOR 40RM

The pressure is real and it is not the review. Enforcement is already visible: the financial intelligence unit imposed CAD \$203.1M across 29 notices in 2025 against CAD \$19.0M across 16 in 2024, the Bank of Canada began publishing notices of violation in June 2026, and its first ever action under the payments act was a safeguarding failure. The duty itself repeats every day and the return is due every 31 March. **What does not exist is a review date, so a buyer who says they will look at it later is not wrong on the law.** The line most exposed is evidence reconstruction, which carries \$2,466,000 in 2028 and expires by design down to \$1,941,306 by 2031. If firms defer, that line moves right rather than disappearing, and the road to the seed gets longer. Use the twenty discovery calls in 2026 to test the deferral objection directly, log every one of them verbatim, and review the log monthly rather than at quarter end.

5

Design partners sign and do not go live

SCORE 4 · L2 × I2

CASE STUDY · VANTA REACHED US\$10M OF RECURRING REVENUE BEFORE IT TOOK A SERIES A

Vanta's own account of its early years is that it proved the motion at small scale before it raised to scale it, reaching US\$10M of annual recurring revenue first ([Vanta; the first years](#)). Drata's published account of its own ramp runs the same way ([Drata](#)). The pattern is that the second customer is only cheap once the first one is actually working, and a signed logo that is not in production has not yet told anybody anything.

RESPONSE FOR 40RM

The tranche schedule already draws this distinction and it is worth keeping sharp. The third instalment releases against two design partners signed, along with the architecture note accepted and twenty discovery calls done. The fourth releases against both partners live in production and the first paying subscription customer signed. **Signed and live are two dated milestones and the money is on the second one.** Track them separately from the first conversation, with a hard checkpoint at the end of 2026: fewer than two partners scoped, signed and scheduled is the warning threshold, and a partner without a dated production plan is not a partner for tranche purposes. Pick both from the mid market band rather than anywhere convenient, because a reference from outside that profile does not generalise to the ten reference customers the whole plan turns on in Q1 2028.

SOURCES ON THIS PAGE

Enforcement already visible	FINTRAC 2025 penalty notices · notices of violation begin · first payments act action, a safeguarding failure	PRIMARY
Dye and Durham	FY2025 annual report · negative organic growth in a quarter · the Ontario conveyancing share	PRIMARY / SECONDARY
Line C	\$834,300 in 2027, \$2,466,000 in 2028, falling to \$1,941,306 by 2031, \$11,515,297 across the plan. Designed to expire. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, revenue lines tab.	MODEL

6 The near-term market is smaller than the count

SCORE 2 · L1 × I2

CASE STUDY · CLIO AND ACTIONSTEP, AND THE DIFFERENCE BETWEEN A COUNT AND A MARKET

The Canadian legal software market shows how far apart an addressable count and a near-term market can sit. Clio crossed US\$500M of annual recurring revenue with more than 150,000 legal professionals on the platform, over roughly sixteen to eighteen years ([Clio](#); [PR Newswire](#)). A well regarded competitor in the same category holds about 0.17 per cent of it ([Actionstep](#)). The count was always there. The market arrived slowly and unevenly, and almost all of it went to one firm.

RESPONSE FOR 4ORM

The register is honest about its own evidence and that honesty is the control. It holds 18,254 entities across eleven industries and at least six rule makers, and 13 of its 32 rows are primary sourced. Eighteen of thirty one rows are management estimates, which means any share measured against one of them is a ratio with an estimated denominator. The plan therefore refuses to publish a blended figure: the blended capture of 4.7 per cent exists so the arithmetic ties and it is never the headline. **The twenty discovery calls in 2026 are the bottom-up check on all of it, and they come before the build depends on the answer.** Run them as a check rather than as a pipeline exercise: every call probes willingness to pay and near-term urgency, not interest. Fewer than twenty completed, or calls skewing toward polite interest without a budget holder behind them, is the cheap early signal to revisit the segment assumptions before more capital is committed against them.

SOURCES ON THIS PAGE

Capacity	Quota carrying heads required of 3, 8, 10, 9 and 10 at 26 new customers a head. Implementation and customer success of 4, 8, 11, 13 and 16 against a capacity ceiling per person rising from 30 to 75. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, cohorts and team roadmap tabs.	MODEL
Channel	Partner origination of 20, 35, 45, 50 and 51.6 per cent across 2027 to 2031, at a ten per cent margin, with independent reviewers excluded. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, channel and sales tab.	MODEL
The register	1,562 registered payment service providers, 745 holding end user funds, 459 in review and held outside the denominator. Bank of Canada registry feed · public registry · about 1,600 providers, in the Bank's own words	PRIMARY

SOURCES ON THIS PAGE

The tranche gates	Third instalment: architecture note accepted, twenty discovery calls done, two design partners signed. Fourth: both partners live in production and the first paying subscription customer signed. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, capital structure and milestones tabs.	MODEL
Vanta and Drata	Vanta on reaching US\$10M before a series A · Vanta on the first years · Drata on its own ramp	SECONDARY
Register evidence quality	18,254 entities, 13 of 32 rows primary sourced, 18 of 31 management estimates, blended capture of 4.7 per cent never published. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, population register and capture and share tabs.	MODEL
Clio and Actionstep	Clio at US\$500M of recurring revenue · 150,000 or more legal professionals · Actionstep at about 0.17 per cent	SECONDARY

What to watch, and how often

Every line names something measured rather than something feared. Four of the six scenarios in this domain announce themselves in the operating numbers a quarter or more before they reach the revenue, which is the reason the cadence is monthly in three places rather than quarterly throughout.

Monitoring cadence

- **Signatures, monthly.** Gross new customers against the annual plan of 69, 184, 259, 214 and 244. A shortfall of one quarter's worth is the trigger to move the channel share rather than the price.
- **Days to first value, from customer one.** Time from signature to a first signed reconciliation, published internally every month. Not measured at customer twenty, which is where the milestone sits, because by then the margin case is already set.
- **Partner sourced qualified opportunities, quarterly.** Opportunities and conversion, never partner logos. Against 20 per cent in 2027 rising to 51.6 per cent in 2031.
- **One reviewer through the pack, in 2027 rather than 2028.** Milestone 15 sits at Q2 2028 and the channel ramp needs it earlier. Run it as a rehearsal on a design partner's records.
- **Signed against live, as two dated milestones.** Hard checkpoint at the end of 2026: fewer than two partners scoped, signed and scheduled is the warning threshold. The fourth tranche releases on live, not on signed.
- **Every discovery call objection, logged verbatim, reviewed monthly.** Watch specifically for deferral language, and treat an early cluster of it as the signal to pull the daily duty message forward rather than waiting for urgency to arrive.

The two numbers that decide this plan are both in this domain, and neither is a market number.

The first is the share of the counted firms that agree to pay, which is why twenty discovery calls come before the build rather than after it. The second is how long a new customer waits for their first signed reconciliation, which cannot be modelled and can only be measured. The workbook states both in its own summary. Everything else in the adoption case follows from them.

SOURCES ON THIS PAGE

The two numbers	4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, summary tab: the share of the counted firms that agree to pay, and how long a new customer waits for their first signed reconciliation.	MODEL
Milestones	Twenty discovery calls Q4 2026, two design partners engaged Q4 2026, both in production Q1 2027, first paying customer Q1 2027, ten paying and reference-able customers Q1 2028, days to first value under two weeks at customer twenty Q3 2028. 4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full, milestones tab.	MODEL
Every figure on this document	4orm Finance master pro forma rebuild of 16 August 2026, base case, recalculated in full. 4orm Finance Master Source Register, 16 August 2026.	MODEL